(18) How to Use Bookmap Orderflow to Spot Market Reversals - YouTube
https://www.youtube.com/watch?v=7zCWcs1cWds

Transcript:
(00:00) I'm going to share with you guys how we can use this one bookmap feature to find potential turning points in the market. And to illustrate this a little bit better, on Friday, we saw the market coming right down towards this key level, which was a gamma exposure level, the HBL0 DTE level.
(00:17) Came right down to that level and the market bounce. You might say, Mike, that's not that big of a move. Well, if we look from the low all the way up to this swing high, that's 21 S&P points. If you want to put a dollar value on it per contract, that move had the potential to make over $1,000. Now, before we go over and start taking a look at what the indicator is and how we can actually use it, I want to warn you guys any setups that we talk about in this video, I am not guaranteeing we'll be able to get the whole entire move or even a piece of it. Keep in
(00:50) mind, in trading, not every single trade is going to work out. But let's talk about this real quick. So on Friday, we saw the market actually break the swing point here. And you may have been thinking, all right, we're going to get a breakaway and the market's going to continue lower.
(01:05) Well, if you guys were on the live stream, you know, we are heavily focused on that zero DTE HBO level right here. And what do we want to see? We want to see reaction at that level before even thinking about taking a trade. Well, here we are right now looking at bookmap as the market's coming down towards that area. Then if I zoom in on bookmap a little bit more, we can see look how fast price started to come down.
(01:30) And even more importantly, as we started to come down, look at the size of the bubbles. They started to increase. Then more importantly, look what we have right here to the left. We've talked about this in past videos. The horizontal lines are basically showing us where there's resting liquidity in the market. So if I scroll this over here just a bit before price comes down there, we can see there's 202 contracts sitting right there at 6915.
(01:54) What does the market do? It comes down and takes that level. And then more importantly, we get this indicator to actually pro plot a value of 83. Now let's talk about what this indicator is right real quick. And this is going to be an add-on within Bookmap. There's no additional cost, at least not for me.
(02:10) I have the lifetime license of Bookmap. I'm assuming the monthly versions may have this as well. But go right in there in add-ons and see if you see strength level add-on. That's the indicator I'm going to be using. And I have it set to underflow. Now, I can put this to resistance and we'll have different values on there.
(02:28) But for this example and how I've been monitoring this, I keep this as underflow. Now, I know you're already thinking, Mike, what in the world is this indicator? How come you have not talked about it in the past? Over the last several months, I've been watching it even while I'm on the live stream, trying to get an idea of exactly what's going on.
(02:44) Basically, what the strength indicator is, it's a strength level indicator add-on displays the number of hidden contracts on the heat map. Now, what they're trying to synthesize is is a potential iceberg order. And if we scroll down here just a little bit, we can see right here the underflow algo reads the quantity in the order book and the size of the transactions made.
(03:06) If the transactions are bigger than the amount of liquidity in the order book,

we assume it's an iceberg order. It might not work on some data sources as it relies of the depth data being aggregated. Now, I I can tell you right now, I'm I'm currently using the bookmap data. It's a little bit cheaper than the rhythmic data and I've had zero problems using that data.
(03:27) Now, keep in mind that is going to be different than the native iceberg order indicator that you can get with within the MBO bundle package. Now, the indicator I'm sharing with you guys right now is absolutely free. Now, when I first go went ahead and started look at this indicator, I put it in the chat GPT and here's some of the notes that I have saved from what ChatGptd said and some of the important things that I like about this indicator.
(03:50) Notice what it says. A score between 20 and 40 weak temporary liquidity 40 to 80 moderate and tradable 80 and plus strong institutional interest at that particular level. Also, what is it good for? Identifying high probability support resistance traders focus on high strength levels 80 plus. Well, if we look at our score right down here, we had a score of 83.
(04:13) So, that falls in line with that 80 plus. And to wrap things up and to make things even more of a high probability location, we had that HVL0DT option level as well. So, we weren't just necessarily looking at a bookmap. We were already focused on the chart at a specific price point when we got this signal from the orderflow add-on that's basically showing us that there is potential iceberg orders sitting down here at this level.
(04:40) Now, something else it talks about, it's good for showing absorption zones, short-term support or resistance. And here's something else that I've taken away from this filtering fake liquidity. And we talk about this all the time on the live stream. We have another spoof order. Even though they tell us that spoofing does not happen, it's illegal. yada yada yada.
(04:58) We see it each day as we're looking at Bookmap. But by incorporating this indicator as well, it's going to also give us a heads up if that liquidity that we're spotting on the order book is actually legit. So this liquidity right here, if this was a spoof order and the market pulled it as we came down there, we would not see that 83 print on that indicator.
(05:19) So it's very important. We're not looking at every single number. We're only looking at numbers that have a very high reading. Now, we scroll this forward a little bit. You can see that's exactly where the market went ahead and ran up from that price point. Now, something else with this indicator I want to go ahead and point out to you guys as well.
(05:35) I fast forwarded a bit. You might see it right here. So, as the market starts coming down, notice what we get. We get a 46 print. Now, is that as high as 80 plus? No. Me personally, I've really been looking at anything 4050s and beyond as I've been monitoring this over the last couple months or so. And for the S&P 500, right in that range seems very, very good, at least in the current market conditions.
(06:01) So, but notice as we're coming down here, we don't see any massive liquidity on the books. it was still able to pick up that there's a potential iceberg sell order and look what happens. The market tracks all the way down and look where it comes down to right down to another area of liquidity where we see another 220 contracts of liquidity sitting down sitting down there.
(06:22) Now if you look at from where that order was from about 6922.75 the liquidity was down at 6922. So that was enough to get a decent little scalp trade. So if you're looking at that liquidity lower, it can also be used as confirmation, not just showing you where a reversal will take place. Where we want to look for the reversal at is if

we have other factors such as a gamma exposure level or maybe even some high probability volume profile levels.
(06:51) Now, if you guys use Bookmap, let me know in the comments section down below what is your favorite feature within Bookmap.